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## Suzhou TFC Optical Communication Co Ltd. | Asia Pacific

## 2Q26 Results Miss, Key Component Shortage Still an Overhang, EW

## AlphaSignals Earnings Reaction

## Strengthens our thesis

Impact to our thesis



## Modest shortfall

Financial results versus consensus



## Modest revision lower

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

## Key Takeaways

- The component shortage is still an overhang, leading to the results miss in 2Q26. We therefore maintain our EW rating.

1. Because of key component shortage, revenue dipped 0.9% YoY in 2Q26, which is 33% and 22% below our expectation and consensus, respectively.

2. Despite higher-than-expected GPM, gross profit is below expectations; net profit also missed.

## Exhibit 1: 2Q26 Results Review

| (Rmb mn)                    | 2Q26         | 2Q25         | YoY            | 1Q26         | QoQ           |
|-----------------------------|--------------|--------------|----------------|--------------|---------------|
| <b>Net Sales</b>            | <b>1,498</b> | <b>1,511</b> | <b>-0.9%</b>   | <b>1,330</b> | <b>12.6%</b>  |
| <b>Gross profit</b>         | <b>968</b>   | <b>746</b>   | <b>29.8%</b>   | <b>753</b>   | <b>28.6%</b>  |
| % GPM                       | 64.7%        | 49.4%        | 15.3%          | 56.6%        | 8.1%          |
| <b>Operating expenses</b>   | <b>(162)</b> | <b>(122)</b> | <b>32.5%</b>   | <b>(147)</b> | <b>10.5%</b>  |
| Tax & surcharges            | (21)         | (16)         | 30.2%          | (17)         | 24.7%         |
| Selling expense             | (5)          | (7)          | -21.7%         | (5)          | 8.2%          |
| G&A                         | (28)         | (35)         | -20.9%         | (37)         | -25.5%        |
| R&D                         | (108)        | (64)         | 68.1%          | (87)         | 23.3%         |
| % OPEX                      | 10.8%        | 8.1%         | 2.7%           | 11.0%        | -0.2%         |
| <b>Operating income</b>     | <b>806</b>   | <b>624</b>   | <b>29.2%</b>   | <b>606</b>   | <b>33.0%</b>  |
| % OPM                       | 53.8%        | 41.3%        | 12.6%          | 45.6%        | 8.3%          |
| <b>Non-operating income</b> | <b>(3)</b>   | <b>15</b>    | <b>-122.7%</b> | <b>(32)</b>  | <b>-89.4%</b> |
| <b>Pre-tax income</b>       | <b>803</b>   | <b>639</b>   | <b>25.7%</b>   | <b>574</b>   | <b>39.8%</b>  |
| Income tax                  | (91)         | (77)         | 17.7%          | (82)         | 10.5%         |
| % effective tax rate        | 11.3%        | 12.1%        | -0.8%          | 14.3%        | -3.0%         |
| <b>Net Profit</b>           | <b>712</b>   | <b>562</b>   | <b>26.8%</b>   | <b>492</b>   | <b>44.7%</b>  |
| % NPM                       | 47.5%        | 37.2%        | 10.4%          | 37.0%        | 10.5%         |

Source: Company data, Morgan Stanley Research

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## Asia Summer School 2026

## Suzhou TFC Optical Communication Co Ltd. (300394.SZ, 300394.CH)

Greater China Technology Hardware | China

## Stock Rating

## Industry View

Price target

Up/downside to price target (%)

Shr price, close (Aug 18, 2026)

52-Week Range

Sh out, dil, curr (mn)

Mkt cap, curr (mn)

EV, curr (mn)

Avg daily trading value (mn)

## Equal-weight

## In-Line

Rmb265.00

(9)

Rmb291.44

Rmb375.00-76.12

1,091

Rmb317,910

Rmb313,393

Rmb11,094

| Fiscal Year Ending         | 12/25  | 12/26e | 12/27e | 12/28e  |
|----------------------------|--------|--------|--------|---------|
| EPS (Rmb)**                | 1.85   | 3.16   | 4.39   | 5.70    |
| Prior EPS (Rmb)**          | -      | -      | -      | -       |
| EPS (Rmb)§                 | 2.82   | 3.33   | 5.36   | 6.70    |
| Revenue, net (Rmb mn)      | 5,163  | 10,291 | 14,604 | 19,308  |
| EBITDA (Rmb mn)            | 2,706  | 4,424  | 5,973  | 7,682   |
| ModelWare net inc (Rmb mn) | 2,017  | 3,443  | 4,785  | 6,221   |
| P/E                        | 78.2   | 92.3   | 66.4   | 51.1    |
| P/BV                       | 28.7   | 37.8   | 25.9   | 18.5    |
| RNOA (%)                   | 124.8  | 344.8  | 643.4  | 1,339.5 |
| ROE (%)                    | 50.7   | 62.5   | 56.9   | 50.7    |
| EV/EBITDA                  | 56.7   | 70.1   | 51.3   | 39.2    |
| Div yld (%)                | 0.3    | 0.3    | 0.4    | 0.5     |
| FCF yld ratio (%)**        | 0.9    | 1.2    | 1.6    | 2.0     |
| Leverage (EOP) (%)         | (54.4) | (73.8) | (84.9) | (91.4)  |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\*\* = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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## Valuation Methodology and Risks

### **Suzhou TFC Optical Communication Co Ltd. (300394.SZ)**

Residual income model, probability-weighted 30% bull, 50% base, 20% bear - skew reflects expected timeline for large-scale CPO application.

Key assumptions:

- CoE and terminal growth rate: 10% and 3.5% across scenarios
- High-end transceivers demand CAGR in 2026-2028e: bull 46%, base 43%, bear 43%
- 2025-35e net profit CAGR: bull 34%, base 30%, bear 25%.

### **Risks to Upside**

- Faster-than-expected optical engine adoption
- Stronger 800G and 1.6T ramp-up
- Later breakthrough in CPO
- Faster-than-expected LiDAR adoption
- Stronger-than-expected cloud capex growth

### **Risks to Downside**

- Geopolitical tensions, delaying 800G and 1.6T optical engine development
- Slower telco and cloud capex
- New optical engine entrants
- Earlier breakthrough in CPO or other new technology
- Component shortage

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|--------------------------|-------------------|------------|----------------------------------|----------------|-------------------------|------------------------------------------------------|--------------------------|
|                          | Count             | % of Total | Count                            | % of Total IBC | % of Rating<br>Category | Count                                                | % of Total Other<br>MISC |
| Overweight/Buy           | 1529              | 42%        | 442                              | 47%            | 29%                     | 750                                                  | 43%                      |
| Equal-weight/Hold        | 1582              | 43%        | 396                              | 42%            | 25%                     | 773                                                  | 44%                      |
| Not-Rated/Hold           | 3                 | 0%         | 1                                | 0%             | 33%                     | 1                                                    | 0%                       |
| Underweight/Sell         | 560               | 15%        | 97                               | 10%            | 17%                     | 217                                                  | 12%                      |
| Total                    | 3,674             |            | 936                              |                |                         | 1741                                                 |                          |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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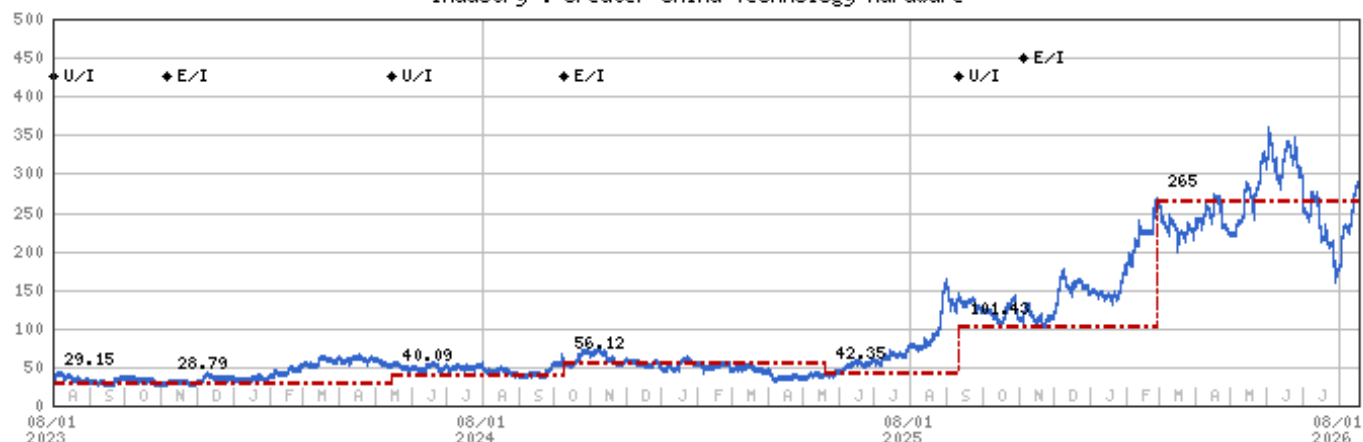
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Industry : Greater China Technology Hardware



Stock Rating History: 12/1/22 : O/I; 4/20/23 : U/I; 11/6/23 : E/I; 5/16/24 : U/I; 10/9/24 : E/I; 9/11/25 : U/I; 11/6/25 : E/I  
Price Target History: 12/1/22 : 11.66; 4/20/23 : 20.04; 7/7/23 : 29.15; 11/6/23 : 28.79; 5/16/24 : 40.09; 10/9/24 : 56.12;  
5/20/25 : 42.35; 9/11/25 : 101.43; 2/27/26 : 265

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)  
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —  
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## INDUSTRY COVERAGE: Greater China Technology Hardware

| COMPANY (TICKER)                                     | RATING (AS OF) | PRICE* (08/18/2026) |
|------------------------------------------------------|----------------|---------------------|
| <b>Andy Meng, CFA</b>                                |                |                     |
| AAC Technologies Holdings (2018.HK)                  | O (01/29/2024) | HK\$43.04           |
| Accelink Technologies Co. Ltd. (002281.SZ)           | U (05/12/2022) | Rmb197.64           |
| BYD Electronics (0285.HK)                            | O (04/28/2023) | HK\$24.06           |
| China TransInfo Technology Co Ltd (002373.SZ)        | E (07/18/2023) | Rmb7.72             |
| Dahua Technology Co. Ltd. (002236.SZ)                | E (12/12/2024) | Rmb16.66            |
| Eoptolink Technology Inc Ltd (300502.SZ)             | O (02/27/2026) | Rmb452.21           |
| Genius Electronic Optical Co. Ltd. (3406.TW)         | E (04/23/2025) | NT\$685.00          |
| GoerTek Inc (002241.SZ)                              | E (08/14/2026) | Rmb22.48            |
| Gosuncn Technology Group Co Ltd (300098.SZ)          | U (11/07/2022) | Rmb4.61             |
| HIKVision Digital Technology (002415.SZ)             | E (12/12/2024) | Rmb35.18            |
| Largan Precision (3008.TW)                           | O (07/10/2026) | NT\$5,290.00        |
| LianChuang Electronic Technology Co Ltd (002036.SZ)  | U (06/12/2024) | Rmb6.87             |
| Lingyi Itech Guangdong Co (002600.SZ)                | U (04/23/2025) | Rmb12.94            |
| Lingyi Itech Guangdong Co (1688.HK)                  | O (08/14/2026) | HK\$6.73            |
| Luxshare Precision Industry Co., Ltd. (2475.HK)      | O (08/14/2026) | HK\$61.60           |
| Luxshare Precision Industry Co., Ltd. (002475.SZ)    | O (10/24/2016) | Rmb57.74            |
| OFILM Group Co Ltd (002456.SZ)                       | U (06/12/2024) | Rmb7.13             |
| Q Technology (Group) Company Ltd (1478.HK)           | U (03/23/2026) | HK\$6.85            |
| Quectel Wireless Solutions Co Ltd (603236.SS)        | E (10/09/2024) | Rmb62.32            |
| Shanghai Conant Optical Co Ltd (2276.HK)             | O (04/10/2026) | HK\$40.66           |
| Shenzhen Transsion Holdings Co Ltd (688036.SS)       | E (03/23/2026) | Rmb56.27            |
| Sunny Optical (2382.HK)                              | E (03/23/2026) | HK\$60.40           |
| Suzhou TFC Optical Communication Co Ltd. (300394.SZ) | E (11/06/2025) | Rmb291.44           |
| Wingtech Technology Co Ltd (600745.SS)               | U (05/18/2026) | Rmb17.14            |
| Xiaomi Corp (1810.HK)                                | O (04/14/2021) | HK\$26.18           |
| Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)  | U (10/13/2021) | Rmb383.60           |

|                                                   |                |               |
|---------------------------------------------------|----------------|---------------|
| Yangtze Optical Fibre and Cable JSC Ltd (6869.HK) | O (07/15/2026) | HK\$146.20    |
| Yongxin Optics Co Ltd (603297.SS)                 | E (11/15/2022) | Rmb109.00     |
| Zhejiang Crystal-Optech Co Ltd (002273.SZ)        | O (11/15/2022) | Rmb29.00      |
| Zhongji Innolight Co Ltd (300308.SZ)              | ++             | Rmb988.10     |
| ZTE Corporation (0763.HK)                         | O (06/04/2026) | HK\$24.72     |
| ZTE Corporation (000063.SZ)                       | E (06/04/2026) | Rmb35.11      |
| <b>Derrick Yang</b>                               |                |               |
| Accton Technology Corporation (2345.TW)           | O (06/06/2024) | NT\$2,225.00  |
| Advantech (2395.TW)                               | O (01/20/2021) | NT\$679.00    |
| AirTAC International (1590.TW)                    | O (04/16/2025) | NT\$1,480.00  |
| Asia Vital Components Co. Ltd. (3017.TW)          | O (07/30/2024) | NT\$3,035.00  |
| AU Optronics (2409.TW)                            | E (02/10/2026) | NT\$26.35     |
| Auras Technology Co Ltd (3324.TWO)                | E (05/04/2023) | NT\$978.00    |
| Bizlink (3665.TW)                                 | O (03/10/2025) | NT\$2,240.00  |
| BOE Technology (000725.SZ)                        | O (09/06/2019) | Rmb6.47       |
| Chenbro (8210.TW)                                 | O (07/23/2025) | NT\$1,025.00  |
| Chroma Ate Inc. (2360.TW)                         | O (10/05/2021) | NT\$2,305.00  |
| Delta Electronics Inc. (2308.TW)                  | O (07/13/2017) | NT\$1,820.00  |
| E Ink Holdings Inc. (8069.TWO)                    | E (08/10/2026) | NT\$157.50    |
| Ennostar Inc (3714.TW)                            | U (09/23/2022) | NT\$56.00     |
| Fositek Corp (6805.TW)                            | O (06/25/2025) | NT\$1,960.00  |
| Hiwin Technologies Corp. (2049.TW)                | O (03/30/2026) | NT\$368.00    |
| Innolux (3481.TW)                                 | E (04/07/2025) | NT\$49.50     |
| King Slide Works Co. Ltd. (2059.TW)               | O (11/08/2023) | NT\$14,370.00 |
| Lens Technology (300433.SZ)                       | E (07/22/2020) | Rmb39.12      |
| Lite-On Technology (2301.TW)                      | E (01/15/2025) | NT\$273.50    |
| TCL Corp. (000100.SZ)                             | E (04/07/2025) | Rmb5.24       |
| Tianma Microelectronics (000050.SZ)               | U (01/24/2018) | Rmb6.72       |
| Wuhan Jingce Electronic Group Co Ltd (300567.SZ)  | E (11/26/2021) | Rmb238.62     |
| <b>Howard Kao</b>                                 |                |               |
| Acer Inc. (2353.TW)                               | U (04/23/2025) | NT\$30.55     |
| Asustek Computer Inc. (2357.TW)                   | U (11/16/2025) | NT\$910.00    |
| Catcher Technology (2474.TW)                      | U (11/17/2025) | NT\$204.00    |
| Compal Electronics (2324.TW)                      | U (04/23/2025) | NT\$40.60     |
| FIT Hon Teng Ltd (6088.HK)                        | O (11/03/2025) | HK\$5.29      |
| Foxconn Industrial Internet Co. Ltd. (601138.SS)  | O (07/10/2019) | Rmb66.20      |
| Giga-Byte Technology Co. Ltd. (2376.TW)           | E (11/16/2025) | NT\$348.00    |
| Gold Circuit Electronics Ltd. (2368.TW)           | O (10/06/2022) | NT\$1,070.00  |
| Hon Hai Precision (2317.TW)                       | O (03/15/2024) | NT\$249.00    |
| Inspur Electronic Information (000977.SZ)         | E (08/28/2023) | Rmb80.97      |
| LandMark Optoelectronics Corporation (3081.TWO)   | E (03/26/2026) | NT\$2,925.00  |
| Lenovo (0992.HK)                                  | O (07/10/2026) | HK\$31.34     |
| Lotes Co. Ltd. (3533.TW)                          | E (05/12/2025) | NT\$1,625.00  |
| Nan Ya PCB (8046.TW)                              | O (02/23/2026) | NT\$1,245.00  |
| Pegatron Corporation (4938.TW)                    | E (03/25/2026) | NT\$91.00     |
| Quanta Computer Inc. (2382.TW)                    | O (05/01/2023) | NT\$327.00    |
| Shengyi Technology Co Ltd. (600183.SS)            | E (05/26/2022) | Rmb139.41     |
| Shennan Circuits Co Ltd (002916.SZ)               | E (08/24/2023) | Rmb381.85     |
| Unimicron (3037.TW)                               | O (02/23/2026) | NT\$1,145.00  |
| Visual Photonics Epitaxy Co Ltd (2455.TW)         | E (09/11/2023) | NT\$417.50    |
| Wistron Corporation (3231.TW)                     | O (07/12/2023) | NT\$181.00    |
| Wiwynn Corp (6669.TW)                             | O (11/10/2025) | NT\$6,400.00  |
| Yageo Corp. (2327.TW)                             | O (10/28/2025) | NT\$576.00    |
| Zhen Ding (4958.TW)                               | ++             | NT\$474.00    |

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